ECONOMIC SURVEYS

UNITED STATES

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1966

BASIC STATISTICS OF THE UNITED STATES

THE LAND

Area, Continental United States, plus Hawaii and Alaska (thousand sq.km.)	9,363

Population of major cities, including their metropolitan areas (1964):	
New York	11,260,000
Chicago	6,591,000
Los Angeles-Long Beach	6,674,000

THE PEOPLE

Population (Sept. 1966)	197,220,000
Number of inhabitants per sq.km.	21
Population, annual net natural increase (average 1962-65)	2,257,750

Net rate of annual increase per 1,000 inhabitants (average 1962-65)	11.7
Civilian labor force, 1965	75,635,000
of which:	
Employed in agriculture	4,585,000
Net civilian immigration (annual average 1962-65)	366.250

PRODUCTION

Gross national product in 1965 (billions of U.S. dollars)	681.2
GNP per head (U.S. dollars)	3,501
Gross fixed capital formation: Per cent of GNP (average 1962-65)	17.1
Per head (U.S. dollars, average 1962-65)	551

Origin of net national product in 1965:	
Agriculture, forestry and fishing	3.8 %
Manufacturing	30.5 %
Construction and mining	6.2 %
Government and government enterprises	13.5 %
Other	46.0 %

THE GOVERNMENT

Public consumption, 1965 (per cent of GNP)	16.9
Civil public construction activity, 1965 (per cent of GNP)	3.1
Current revenue of Federal, state and local governments, 1965 (per cent of GNP)	27.8
Federal Government debt as ratio of cash receipts from the public, 1965 (per cent)	258.5

Composition of the 90th Congress, 1967 :

	House of Representatives	Senate
Democrats	248	64
Republicans	187	36
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1964	3,120
Consumption of energy per head 1965 (metric tons of coal equivalent)	10

Average hourly gross earnings in manufacturing, 1965 (U.S. dollars)	2.61
Number of passenger cars in use per 1,000 inhabitants, 1964	373
Number of telephones in use per 1,000 inhabitants, 1964	462

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP (average 1962-65)	5.6
Main exports 1965 (per cent of total U.S. merchandise exports) :	
Machinery	26.7
Chemicals	9.3
Transport equipment	10.5
Food and live animals	15.5
Crude materials (inedible)	14.7

Imports:	
Imports of goods and services as per cent of GNP (average 1962-65)	4.5
Main imports 1965 (per cent of total merchandise imports):	
Machinery	8.4
Transport equipment	5.4
Food and live animals	16.2
Crude materials (inedible)	24.6
of which: mineral fuels	10.4
Non-ferrous base metals	5.6
Iron and steel-mill products	5.3

ECONOMIC SURVEYS BY THE OECD

UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in December 1966.

CONTENTS

Introduction 5

I Internal Situation 6

The Pressure on Resources 9
Prices and Wages 11
Fiscal and Monetary Policies 14
a) *The Federal Budget* 14
b) *Monetary Policy*.. 16
Prospects.. 23

II Balance of Payments. 27

Prospects.. 34

III Policy Conclusions 38

Statistical Annex 41

BLANK PAGE

INTRODUCTION

In the first half of the 1960's the real gross national product rose by 4.7 per cent a year, much faster than in the 1950's (3.3 per cent a year). The better performance was to a large extent due to the active use of monteary and fiscal policies, notably a succession of tax cuts. The 1926 invesment tax credit and more favourable depreciation rules to encourage business investment were followed by a significant cut in personal and corporate direct taxes in 1964. In 1965 Congress adopted a programme of excise tax reductions spread over five years, the first taking effect in June 1965. The strong expansion was combined with virtual price stability, in marked contrast to the experience of most other Member countries, and some improvement of the balance of payments. The good price performance was, however, strongly influenced by the fact that, although the utilisation of resources improved steadily, the improvement was gradual and some slack remained during most of the period. It also reflected the adoption of an " incomes policy " in the form of wage-price guideposts first enunciated in January 1962. The improvement of the balance of payments reflected a prowing current surplus despite the rise in imports associated with fast expansion, pointing to a strong improvement of the underlying position. Some progress was made in reducing certain types of capital outflow but in total the deficit on capital account remained high over most of the period.

After the middle of 1965 the situation changed importantly in several respects. Influenced by the defence build-up, and a step-up in business fixed investment, the expansion of demand accelerated, entailing strong pressures on capacity, rising prices, a sharp increase in imports, and some deterioration of the current foreign balance. Following the introduction of tighter monetary and fiscal policies, the expansion of demand became more moderate after March; the rise in prices has abated moderately, but the trade balance deteriorated in the second and third quarters.

Part I of this Survey considers recent and prospective trends in the domestic economy. Part II reviews the balance of payments position. Part III discusses some of the main policy issues facing the authorities in 1967.

I. INTERNAL SITUATION

The expansion of the US economy from 1961 through the first half of 1965 was persistently faster than the growth of potential output, and utilization rates of labour and capital improved steadily. After mid-1965 and into the early months of 1966, the pace of expansion accelerated rather sharply, bringing the economy close to full employment of its labour force and factory capacity.

TABLE 1. THE EXPANSION OF DEMAND

Percentage increases in volume, seasonally adjusted annual rates.

	1965 PERCENTAGE DISTRIBUTION	2ND QTR. 1964 to 2ND QTR. 1965	2ND QTR. 1965 to 1ST QTR. 1966	1ST QTR. 1966 to 2ND QTR. 1966	2ND QTR. 1966 to 3RD QTR. 1966
Personal consumption	64.49	5.7	7.1	— 0.6	6.1
Fixed investment	14.49	7.8	10.7	— 1.3	— 4.9
Machinery and equipment	7.03	10.6	15.3	11.7	18.8
Non-residential construction	3.53	14.8	16.3	—11.0	— 6.6
Residential construction	3.92	— 1.6	— 1.1	—14.0	—41.1
Net exports, as per cent of GNP	1.03	1.2[1]	0.9[1]	0.7[1]	0.6[1]
Government	18.57	— 0.1	6.1	7.3	13.6
Federal	9.41	— 4.0	7.3	10.3	20.9
State and local	9.16	4.3	4.8	4.2	6.3
Change in business inventories, per cent of GNP	1.43	1.2[1]	1.3[1]	1.8[1]	1.4[1]
Gross national product	100.00	5.1	7.2	1.9	3.6

1. Per cent for last quarter in period.
Source: Survey of Current Business.

Over the three quarters up to March, the gross national product (GNP) was rising at an annual rate of $64 billion, or over 7 per cent in real terms. The increase in defence expenditure at an annual rate of $7.3 billion was an important factor behind the acceleration. Nevertheless, the defence build-up has so far been much smaller both, in terms of money and men than during the Korean conflict, and defence expenditure is much lower in relation to GNP than at that time. Other Federal expenditure has risen little, while States' and local authorities' purchases of goods and services have continued to rise at an annual rate of $6 billion.

Business fixed investment, already on a strong upward trend, gathered further momentum in the second half of 1965, influenced by the strengthening of demand prospects associated with the rise in defence spending. Over the three quarters up to March it rose at an annual rate of over 15 per cent in volume. The preceding year had shown an increase

TABLE 2. DEFENCE BUILD-UP

	VIETNAMESE CONFLICT	KOREAN CONFLICT
Increase in defence expenditure during first year, $ billion	8	23.5
Increase in armed forces during first year	485,000	1,700,000
Defence expenditure as per cent of GNP one year after outbreak of hostilities	7.8	11

Source: Economic Indicators.

of about 11 per cent. The ratio of business fixed investment to GNP reached 10.7 per cent, the highest experienced in the postwar period. At this rate, the authorities have estimated that capacity in manufacturing is growing at an annual rate of 7 per cent.

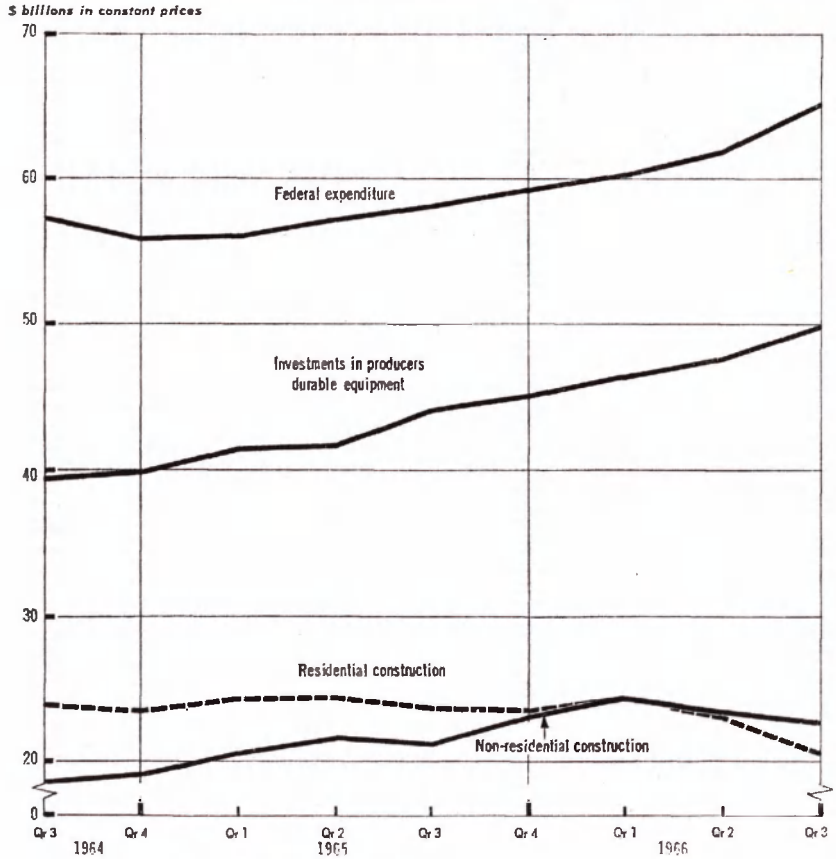
Private consumption also rose fast up to the early months of the year, responding to the advance in non-consumption expenditure and expansionary fiscal measures, notably the cuts in excise taxes and the increase in social security benefits; the latter was effective retroactively to 1st January 1965, but was reflected in regular monthly payments for the first time in September.

The expansion slowed down in the second quarter. Defence spending continued its strong advance, but the rise in business fixed investment slowed down considerably; purchase of machinery and equipment continued to rise fast, but investment in construction turned down. Residential construction also fell. The increase in private consumption slowed down markedly as several tax increases were beginning to affect consumer income (see page 15). Moreover, the savings ratio, which had fallen sharply in the first quarter, changed little in the second. The weaker trend in private consumption was concentrated in purchases of automobiles, which showed an absolute decline of over 9 per cent on a seasonally adjusted basis from the first to the second quarter. In addition to tighter fiscal policies, publicity about automobile safety defects may have played a rôle in this decline. The fall in automobile sales left dealers with a record level of inventories at mid-year, an important element in the high inventory accumulation in the second quarter.

In the third quarter, real GNP resumed a somewhat faster rate of growth, bringing the increase since the first quarter up to an annual rate of 3.2 per cent. But the disparate movements of the main components of demand became more marked. With defence expenditure rising by as much as $4.2 billion in current prices, Federal purchases of goods and services rose at annual rates of more than 20 per cent both in value and volume. The rise in business investment in machinery and equipment accelerated to an annual rate of 19 per cent in real terms. On the

other hand, the decline in non residential construction continued, and residential construction fell much faster than earlier. Private, non-farm housing starts in August and September fell towards an annual rate of 1 million, almost 30 per cent below the first quarter rate. Private consumption revived in the third quarter, mainly reflecting a stronger trend in automobile sales; in the third quarter, sales of domestically-produced autos were running at an annual rate of 8.3 million, still well below the first quarter rate, but 5 per cent above the second quarter level. The more buoyant trend in aggregate demand was associated with a strong rise in personal income which, even excluding the higher transfer payment resulting from the introduction of " Medicare ", was substantially above the second quarter increase, and almost matched the first quarter advance.

Diagram 1. **THE DISPARATE MOVEMENTS OF DEMAND**



Source: Survey of Current Business.

The Pressure on Resources

The sharp advance in demand in later 1965 and early 1966 was accompanied by growing pressures on ressources. While the total labour force increased more rapidly than its long-terme trend, civilian employment (census basis) rose at an annual rate of 3.1 per cent from the second quarter of 1965 through the lst quarter of 1966, and the armed forces increased by 250,000 over the same period. As a result, the unemployment rate dropped from 4.7 per cent of the labour force to 3.8 per cent.

TABLE 3. **LABOUR FORCE AND EMPLOYMENT**

Seasonally adjusted, thousands of persons.

	TOTAL LABOUR FORCE INCL. ARMED FORCES	ARMED FORCES	CIVILIAN LABOUR FORCE	CIVILIAN EMPLOYMENT	UNEMPLOYMENT	UNEMPLOYMENT RATE, % OF CIVILIAN LABOUR FORCE
1965 :						
August	78,465	2,693	75,772	72,387	3,385	4.5
September	78,334	2,723	75,611	72,297	3,314	4.4
October	78,606	2,760	75,846	72,561	3.285	4.3
November	78,906	2,795	76,111	72,914	3.197	4.2
December	79,408	2,841	76,567	73,441	3,126	4.1
1966 :						
January	79,644	2,890	76,754	73,715	3,039	4.0
February	79,279	2,924	76,355	73,521	2,834	3.7
March	79,315	2,974	76,341	73,435	2,906	3.8
April	79,674	3,008	76,666	73,799	2,867	3.7
May	79,313	3,045	76,268	73,231	3,037	4.0
June	80,185	3,099	77,086	73,997	3,089	4.0
July	80,233	3,135	77,098	74,072	3,026	3.9
August	80,549	3,178	77,371	74,338	3,033	3.9
September	80,342	3,229	77,113	74,165	2,948	3.8
October	80,414	3,279	77,135	74,163	2,972	3.9

Source: Economic Indicators.

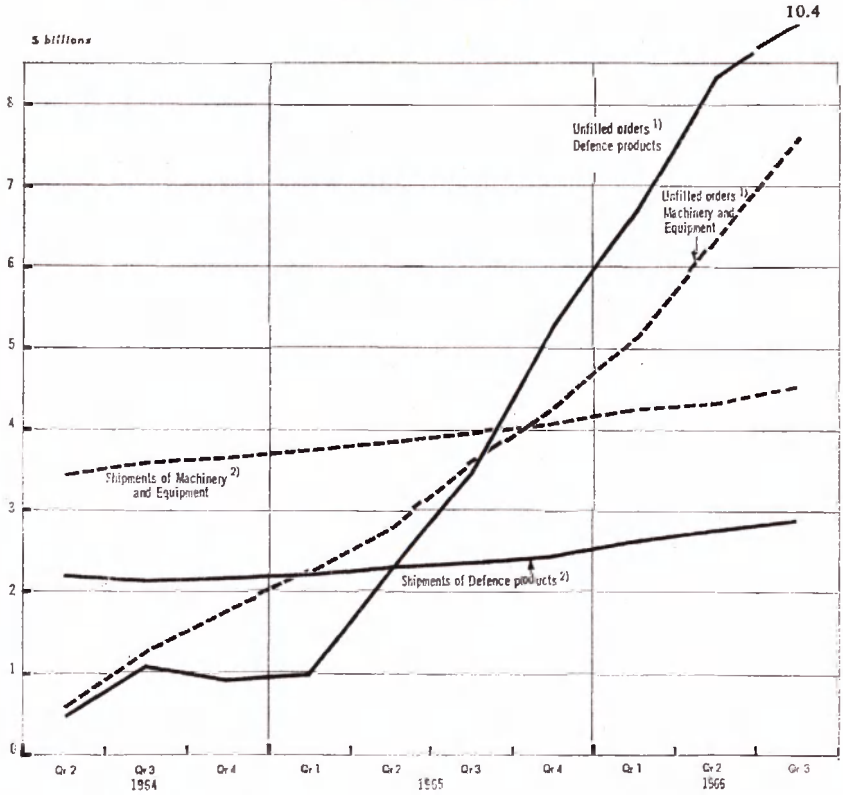
The growth in real demand since the first quarter of 1966 has been very close to the growth of potential output. Employment growth has slowed to less than half the earlier pace and the unemployment rate has stayed in a narrow range between 3.7 per cent and 4.0 per cent.

The overall unemployment ratio conceals important differences in the major groups of the labour force. There are scattered shortages of skilled labour; the unemployment rates of men 25 years old and above, and for all married men, have fallen to about 2 per cent. Rates for unskilled workers are generally much higher — for teenagers above 10 per cent, and for negro workers about 8.

The rate of capacity utilisation in manufacturing had risen by March to a level close to that preferred by industry; since September 1965 industrial production had risen at an annual rate of about 14 per cent — twice as fast as industrial capacity. Since then, the rate of utilisation has not changed much; between March and September industrial production rose at an annual rate of 6 per cent — not quite matching the 7 per cent growth of capacity.

An indication of the strained conditions prevailing in manufacturing is the sharp increase in the value of unfilled orders over the last year. Although shipments rose by almost 10 per cent between June 1965 and March 1966, the value of unfilled orders rose by one-sixth, reaching the equivalent of about 7 week' shipments. The inflow of new orders

Diagram 2. **UNFILLED ORDERS AND SHIPMENTS**
MONTHLY AVERAGES



1. Cumulative increase in unfilled orders.
2. Absolute amounts of shipment.

Source: Survey of Current Business.

flattened out after the first quarter, but so did shipments, so that the value of nifilled orders has continued to grow. The pressure of demand is particularly strong in the defence and machinery and equipment industries, where the value of unfilled orders rose from $37 billion in July 1965 of $47 billion in July 1966, the latter representing 6 months' deliveries at the current rate.

Prices and Wages

The virtual price stability that had prevailed for a number of years was broken last year (see Table 4). Most of the rise in 1965 was due to higher food prices, but towards the end of the year, and in 1966, the price rise has not only steepened but has become more widespread. In the first ten months of the present year, the consumer price index rose at an annual rate of 3.8 per cent, compared with an increase of about 2 per cent in 1965. The wholesale price index showed a similar acceleration; however, the index remained unchanged in September and declined in October, and sensitive commodity prices have tended to fall recently. Wholesale food prices rose through the summer but fell in October; the rise in wholesale non-food prices accelerated in the first half of 1966, but this price index remained unchanged for the most recent three months. Service prices have risen steadily, a phenomenon common to most Member countries because of the slow productivity advance in this sector, and the rise has accelerated in the last year.

The rise in hourly earnings in manufacturing accelerated somewhat to an annual rate of 4 per cent in the first ten months of 1966. This is more than the trend rate of growth of labour productivity (estimated at 3.2 per cent a year both in manufacturing and the economy as a whole). But with capacity utilisation improving relative to last year, actual output per employed person has risen faster than the trend rate, so that unit labour costs in manufacturing have remained fairly stable and the main factor behind the price rise has been strong demand. In certain non-manufacturing sectors, however, particularly in the service industries, wages have risen faster than productivity. Recent wage settlements have on the average provided for increases of about 5 per cent a year, more than suggested by the wage-price guideposts (3.2 per cent). This no doubt reflects the fact that the bargaining position of labour has improved. Moreover, with rapidly growing demand and greater difficulties in recruiting, the employers have become more willing to grant wage increases. But the number of workers directly affected by settlements in 1966 has been relatively small.

The most important single factor behind the rise in prices over the past year has been the strong expansion of demand, but factors on the supply side have also played a rôle. Part of the rise in food prices has been due to low crop yields this year and the inability to adjust pro-

TABLE 4. PRICES

Indices 1957-59 = 100.

	CONSUMER PRICES					WHOLESALE PRICES			
	ALL ITEMS	FOOD	NON-FOOD			ALL COMMOD-ITIES	FARM PRODUCTS	PRO-CESSED FOODS	NON-FOOD[1]
			TOTAL	COMMOD-ITIES	SERVICES				
Dec. 1963	107.6	105.4	108.5	104.5	114.1	100.3	93.3	100.4	101.2
Dec. 1964	108.8	106.9	109.6	104.9	116.2	100.7	92.7	100.8	101.8
Dec. 1965	111.0	110.6	111.3	105.7	119.3	104.1	103.0	109.4	103.2
Oct. 1966	114.5	115.6	114.4	107.6	124.1	106.2	104.4	112.4	105.2
Percentage rise at annual rates:									
Dec. 1963 - Dec. 1964	1.11	1.42	1.01	0.38	1.84	0.40	—0.40	0.40	0.59
Dec. 1964 - Dec. 1965	2.02	3.46	1.55	0.76	2.67	3.38	11.11	8.53	1.38
Dec. 1965 - Oct. 1966	3.79	5.45	3.36	2.16	4.84	2.69	1.81	3.65	2.59

1. Commodities other than farm products and foods (industrials).
Source: Survey of Current Business.

duction quickly to demand. An unfavourable phase of the hog cycle considerably reduced total meat production in 1965 and early 1966. And unexpectedly large exports also reduced domestic supplies of some farm products. But some of the decline in crop yields and a large part of the recent decline in milk production have been caused by a stronger than usual movement of workers out of agriculture, attracted by the better employment possibilities in other sectors. The low-wage service industries have also been influenced by a tendecy for workers to move to other sectors. To keep them, employers have had to raise wages faster than elsewhere, accelerating the normal rise of service prices.

The past few years, and notably the last year and a half, have seen some important shifts in the income distribution. First, the share of profits in the gross income of non-financial corporations has increased (see Table 5). Much of this has been due to cyclical factors, reflecting the rapid improvement of productivity associated with increasing capacity utilisation. But it also reflects the fact that prices on average have been increased in response to pressures on capacity, while labour costs have risen less rapidly than prices. Second, net income per farm rose by 38 per cent in 1965 and by a further 5 per cent in the first half of 1966, much faster than other incomes. Third, within the non-farm sector, the rise in hourly compensation of non-manufacturing workers has exceeded that of manufacturing workers (see Table 6). This may have been related to the fact that, over the 1960-1965 period, demand for labour was stronger in private non-manufacturing than in manufacturing, employment in the two sectors rising by 12 and 7 per cent respectively. In real terms (i.e., after allowance for the rise in consumer prices) the increase in hourly compensation in manufacturing averaged only 2.3 per cent a year in the 1960-1965 period; since the middle of last year the rise in hourly earnings in manufacturing has little more than kept pace with the increase in prices.

TABLE 5. **CORPORATE PROFITS**

Seasonally adjusted, annual rates, $ billion.

	1960	1961	1962	1963	1964	1965		1966
						I	II	I
Gross product of non-financial corporations[1]	273.1	278.4	302.8	320.0	345.3	367.7	381.6	400.9
Profits before tax	40.1	40.3	44.7	49.1	55.6	62.3	64.8	69.8
Profits as a percentage of gross product	14.7	14.5	14.8	15.3	16.1	16.9	17.0	17.4

1. Excludes gross product originating in the rest of the world.
Source: Survey of Current Business.

TABLE 6. PERCENTAGE CHANGES IN HOURLY COMPENSATION OF EMPLOYEES

	1961/1960	1962/1961	1963/1962	1964/1963	1965/1964	1960/1965 AVERAGE
Total private economy	3.7	4.4	4.0	5.1	4.0	4.3
Non-farm	3.2	4.0	3.5	4.9	3.5	3.8
Manufacturing	3.1	4.1	3.3	4.7	2.7	3.6
Non-manufacturing	3.5	3.7	3.7	5.1	4.0	4.0
Real hourly compensation in manufacturing[1]	2.0	2.9	2.1	3.3	0.9	2.3

1. Hourly compensation adjusted for changes in consumer prices.
Source: US memorandum to OECD.

The authorities have continued to stress the importance of the observation of the price-wage guideposts by both labour and management. This has probably increased public understanding of the problems involved in maintaining price stability, and has thus served to slow the advance of wages and prices. Nevertheless, there can be little doubt that, with the strengthening of the pressure of demand, departures from the guideposts have become more numerous, rendering their observation more difficult in the months to come. A difficult test may come in 1967 when a much greater number of wage contracts fall due for re-negociation involving inter alia the automobile industry.

Fiscal and Monetary Policies

In 1966 the emphasis of demand-management policies has been on restraint. Monetary policy had already been tightened considerably in the last months of 1965, and further steps have been taken in the present year. A number of tax measures have also been taken, reversing the earlier succession of tax cuts.

a) *The Federal Budget*

Table 7 shows the movement of the main items of the Federal budget on a national accounts basis. A striking feature has been the sharp increase in expenditure on goods and services since the middle of 1965, mainly reflecting higher defence outlays. Together with certain tax reductions (cuts in excise taxes and liberalisation of social insurance) it resulted in a budget deficit in the second half of calendar 1965. In

the first half of 1966, however, the increase in tax receipts more than offset the growth of expenditure so that the budget returned to a surplus position, with the change in the budget balance representing about one-half of 1 per cent of GNP. The tax base rose rapidly, and by mid-year Federal revenues were benefiting ot the extent of some $8 billion a year from:

a) A $5.8 billion increase in payroll taxes for social security in January which more than offset the $1.75 billion cut in excise taxes.

b) The reimposition in March of certain excise taxes which had been reduced in January ($1 billion).

c) The introduction in May of a new system of graduated withholding of personal income taxes, increasing revenue at an annual rate of over $2 billion.

d) Although not reflected in the national income budget, corporate tax payment dates were advanced, stepping up cash flow to the Treasury by $1 billion.

TABLE 7. FEDERAL GOVERNMENT FINANCES
NATIONAL ACCOUNTS BASIS

$ billion, seasonally adjusted annual rates.

	CALENDAR YEARS					FISCAL YEARS		
	1964 YEAR	1965 YEAR	1965 1ST HALF	1965 2ND HALF	1966 1ST HALF	1964/65	1965/66 OUTCOME	1966/67 JAN. ESTIMATES
Receipts	115.1	124.9	124.5	125.4	138.5	120.6	131.9	142.2
Expenditure	118.1	123.4	120.1	126.7	135.4	118.3	131.0	142.7
Goods and services	65.2	66.8	65.0	68.6	73.0	64.3	70.8	74.4
Defence	50.0	50.1	48.6	51.6	55.8	48.9	53.7	—
Transfers, etc.	52.9	56.6	55.1	58.1	62.4	53.9	60.2	68.3
Balance	—3.0	1.6	4.5	—1.3	3.1	2.3	0.9	—0.5

Source: Economic Indicators.

The outlook for the 1966/67 budget is still uncertain, but it is clear that total expenditure is going to be higher than the January estimate. Defence spending is rising more than expected earlier, and Congress made some additions to the January budget requests for civilian expenditure. Moreover, the new medicare programme took effect from 1st July, adding initially to government outlays at an annual rate of some $2 billion.

Under these circumstances, various measures to strengthen the budget and restrict the growth of demand have been taken:

the suspension of the 7 per cent investment tax credit and accelerated depreciation allowances for structures for a 15 month period, beginning 10th October 1966; the tax credit permits firms to subtract from their tax bill up to 7 per cent of the funds spent on investment in eligible machinery and equipment;

the President has promised curbs to Federal non-defence expenditure which would bring civilian expenditure approximately down to January estimates.

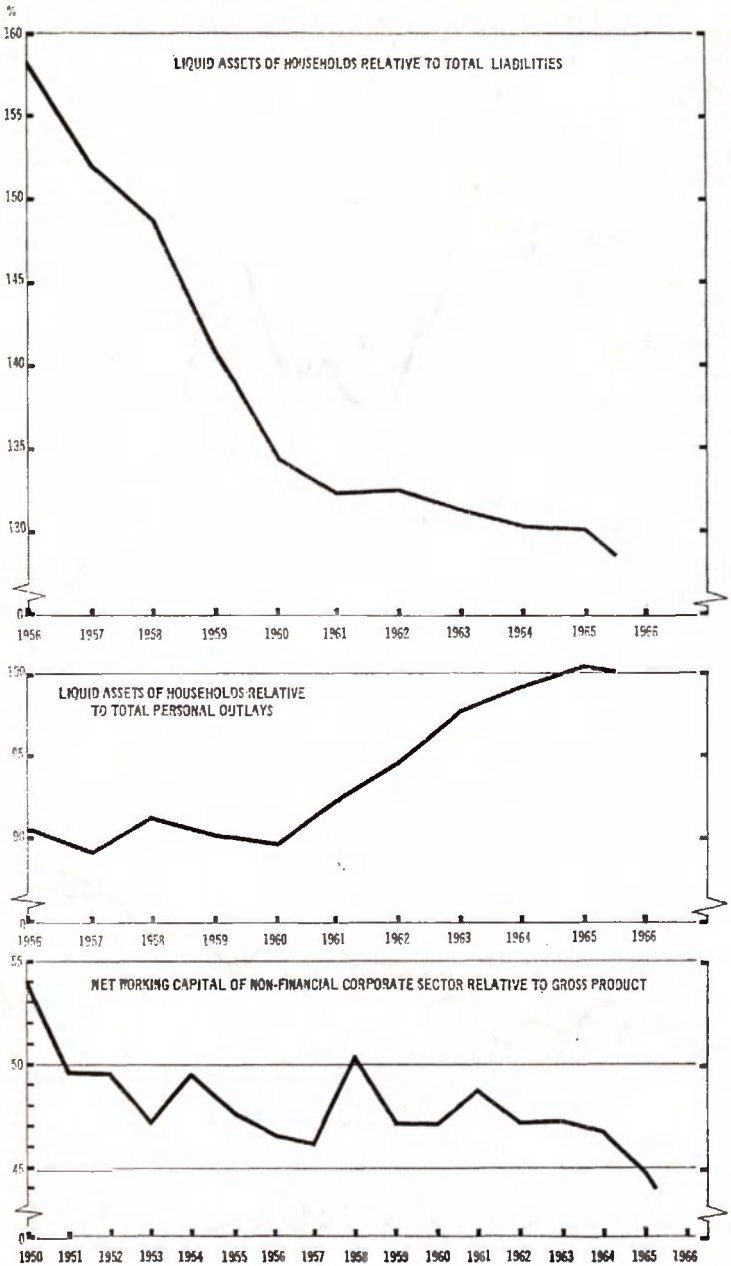
The President repeated his determination to take further fiscal action should economic developments warrant it.

b) *Monetary Policy*

In December 1965 the discount rates of the Federal Reserve banks were raised from 4.0 to 4.5 per cent. At the same time maximum interest rates payable on time deposits were increased from 4.5 to 5.5 per cent. The authorities have operated so as to put stronger pressure on bank reserves, partly through the open market operations of the Federal Reserve System, and partly through the increase in reserve requirements for large time deposits from 4 per cent to 6 per cent. As a result of these measures, monetary conditions have tightened. Bank reserve expansion has declined to an annual rate of 3 per cent for the first nine months of 1966 as against 5 per cent in 1065. Free reserves of commercial banks, which had already declined considerably through 1965 and the first part of 1966, since May have declined slightly further. The liquidity positions of corporations and consumers have also deteriorated, but the change has not been dramatic, particularly since it forms part of a secular decline in liquidities. Bank credit expanded at a seasonally adjusted annual rate of only about 3 per cent in the third quarter of 1966, in contrast to 8 per cent in the first half of the year and 10 per cent in 1965. The money supply, excluding time deposits, actually declined somewhat in the third quarter and has grown at a seasonally adjusted annual rate of only about 2.6 per cent in the first nine months of the year, compared to 4.7 per cent in 1965. (Diagrams 3*a*, 3*b*, 3*c*).

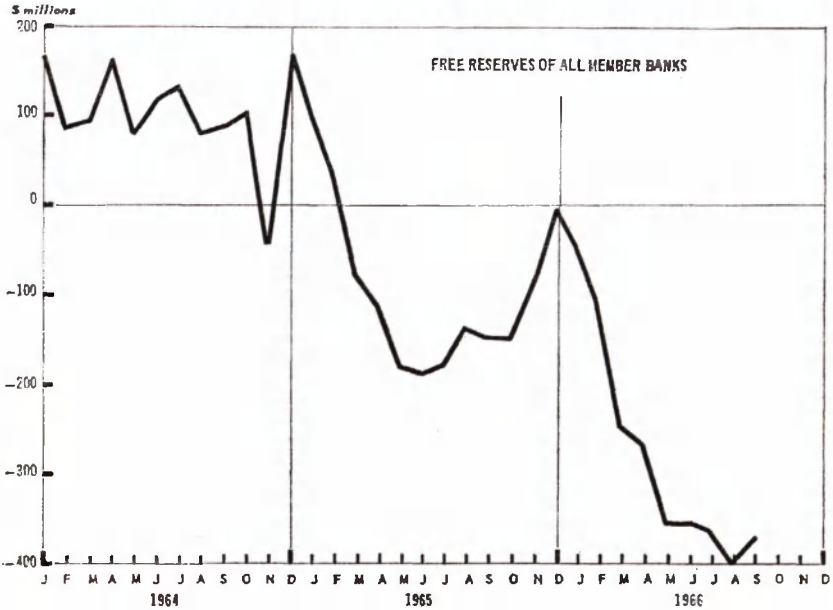
The total volume of funds raised in credit and capital markets continued to rise through the first half of the year, although perhaps more slowly than earlier, see Diagram 4. On a seasonally adjusted basis the figure for the first half of 1966 was already nearly 15 per cent above the 1965 level; the increase between 1964 and 1965 was about 7.5 per cent. But the movement of the seasonally adjusted data has been irregular, suggesting that the allowance made for seasonal factors may have been incomplete. Data for twelvemonth periods ending in June, and for first-half years, point to some slowdown of the increase in total borrowing.

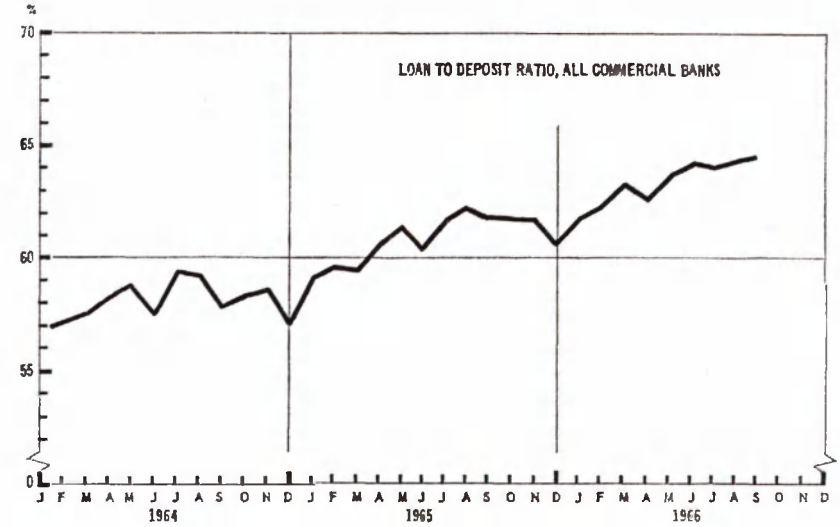
Diagram 3a. **SELECTED MEASURES OF LIQUIDITY**



Source: Federal Reserve Bulletin. Economic Report of the President and Survey of Current Business.

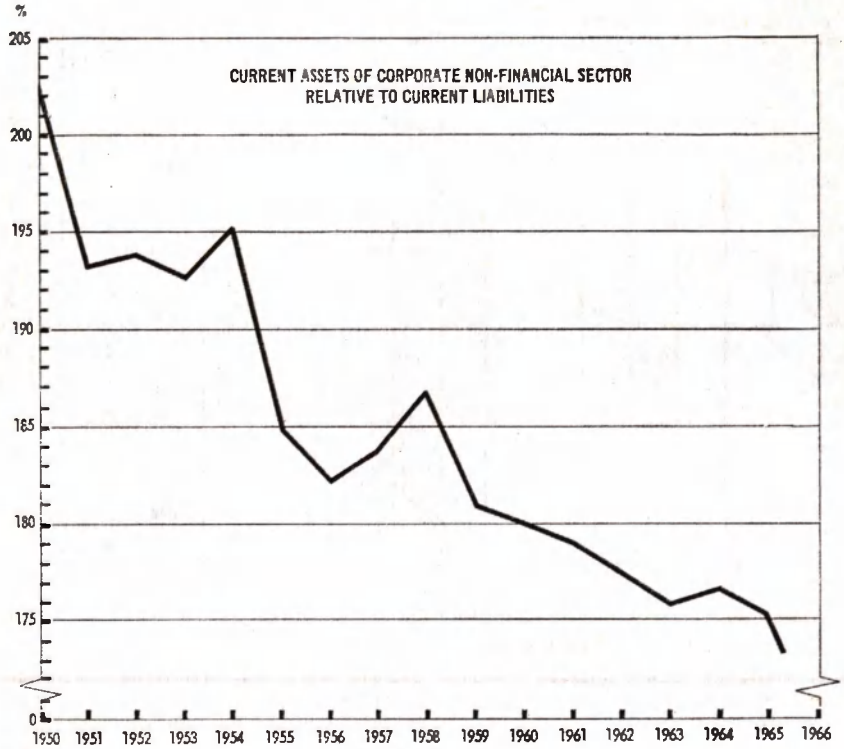
Diagram 3b. **SELECTED MEASURES OF LIQUIDITY**





Source: Federal Reserve Bulletin.

Diagram 3c. **SELECTED MEASURES OF LIQUIDITY**



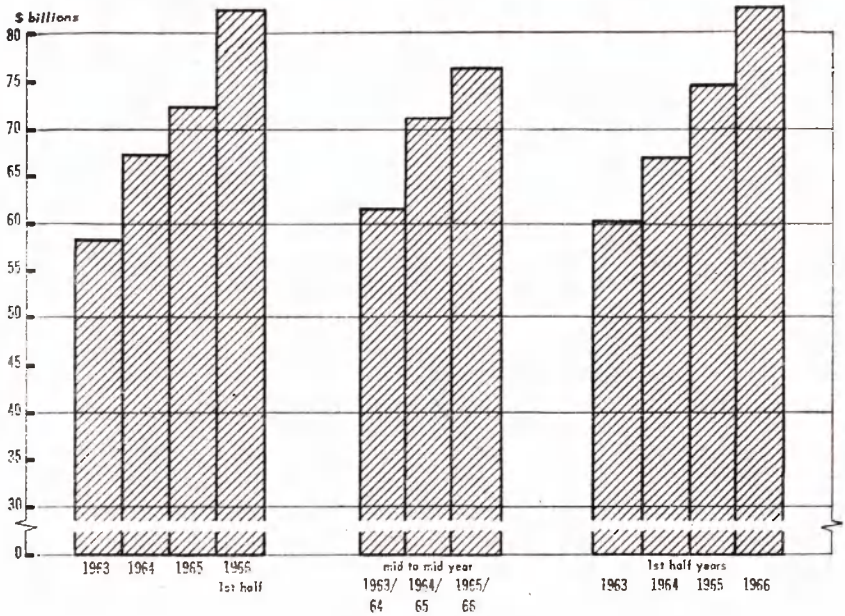
Source: Economic Report of the President, Federal Reserve Bulletin.

In view of the recent behaviour of bank credit and other monetary series, it is possible that a further slowdown in borrowing is in process; but flow of funds data are currently available only through the first half of the year.

The pattern of borrowing has changed significantly (see Table 8). In 1965, the US Government and foreigners borrowed much less than in the previous year, but the funds raised by private domestic non-financial sectors rose significantly. In the first half of 1966 the increase in total borrowing was heavily influenced by a sharp increase in the volume of funds raised by the US Government and an accompanying rise in lending shown in Tabe 9, while borrowing by foreigners remained rise in lending shown in Table 9, while borrowing by foreigners remained at the lower level. Borrowing by private domestic non-financial sectors

Diagram 4. **VOLUME OF FUNDS RAISED BY THE NON-FINANCIAL SECTORS IN CREDIT AND CAPITAL MARKETS**

SEASONALLY ADJUSTED ANNUAL RATES



Source: Federal Reserve Bulletin.

TABLE 8. **TOTAL BORROWING IN CREDIT AND CAPITAL MARKETS**

$ billion, seasonally adjusted annual rates.

	1963	1964	1965			1966
			YEAR	I	II	I
US Government	5.0	7.0	3.5	5.1	1.9	9.6
Foreign	3.3	4.4	2.6	3.4	1.8	2.4
Private domestic non-financial sectors	50.2	55.6	66.0	65.9	66.3	70.6
Loans	15.5	18.7	27.7	28.0	27.7	26.8
Securities	10.3	11.3	12.8	13.0	12.6	19.9
States and local authorities	6.7	5.9	7.4	7.4	7.5	6.4
Corporations	3.6	5.4	5.4	5.7	5.2	13.6
Mortgages	24.5	25.7	25.5	24.9	26.0	23.9
Total	58.5	67.0	72.1	74.6	70.0	82.6

Source: Federal Reserve Bulletin.

continued to rise, there was a sharp increase in funds raised through the sale of securities by corporations, and a decline in mortgage borrowing; by the second quarter the last-named had hallen to an annual rate of $22.7 billion, or 11 per cent below the 1965 level.

The changes in the pattern of borrowing have reflected marked changes in the pattern of the flow of savings. The main features have been a slowdown of the rise in time and savings deposits, notably with the savings and loans associations. These associations, whose major assets are in mortgages, have not been able to maintain competitive deposit rates, mainly because the extent to which they can afford to raise their deposit rates is severely limited by the fact that the rates payable to them on outstanding mortgages are contractually fixed, and cannot therefore be changed. The rise in time and savings deposits at commercial banks has slowed down much less markedly, because of the greater flexibility they enjoy in raising the rates charged on outstanding loans. There has, on the other hand, been a sharp increase in the volume of funds flowing directly to the capital market, where higher rates could be obtained.

TABLE 9. **SOURCES OF CREDIT**

$ billion, seasonally adjusted annual rates.

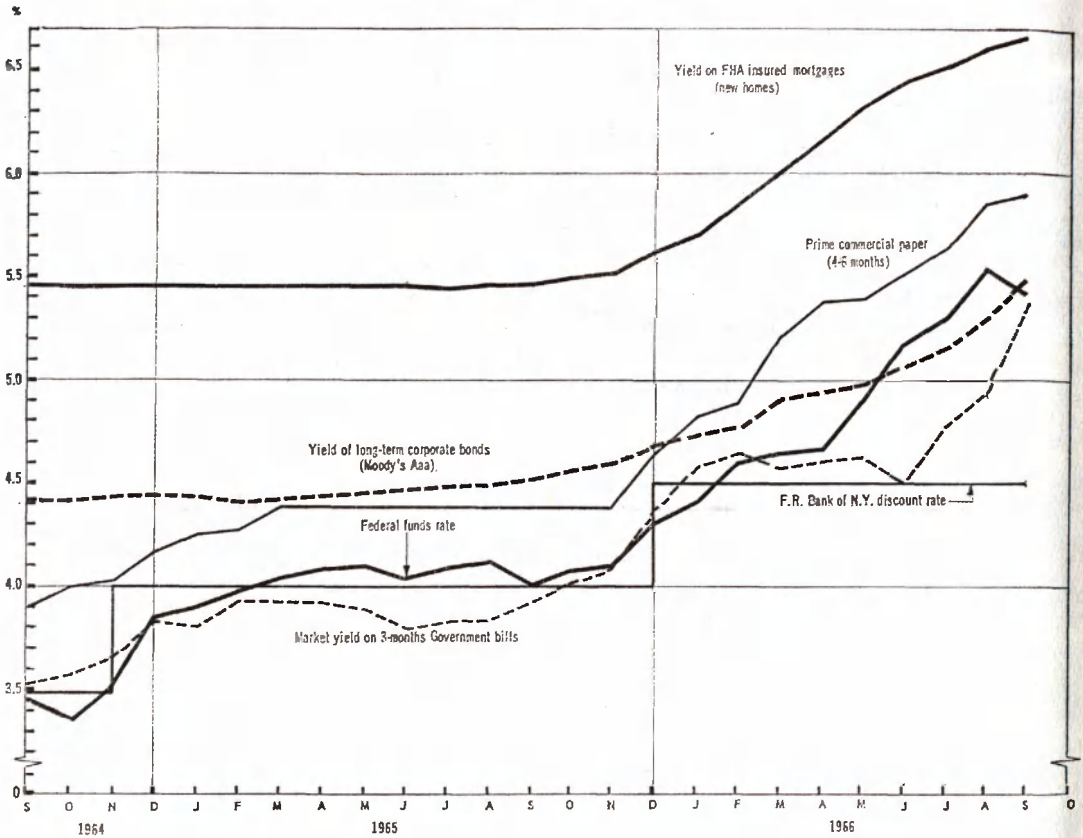
	1963	1964	1965			1966
			YEAR	I	II	I
Private domestic non-financial sectors	39.4	44.1	48.9	45.7	52.5	52.5
Demand deposits and currency	5.9	6.5	7.8	3.0	12.8	4.5
Time and savings deposits	28.5	28.8	32.6	32.0	33.3	22.8
at commercial banks	13.4	13.0	19.5	19.2	19.8	15.9
at savings institutions	15.1	15.8	13.1	12.8	13.4	6.9
Private credit market instruments	2.3	7.8	6.1	4.0	8.2	14.4
Miscellaneous	2.7	1.0	2.4	6.6	−1.7	11.0
Other sources[1]	19.2	23.0	23.2	28.9	17.5	30.1
Total	58.5	67.0	72.1	74.6	70.0	82.6

1. Including lending by US Government, private insurance and pension funds, and foreigners.
Source: Federal Reserve Bulletin.

The sharp increase in interest rates since the middle of 1965 appears from Diagram 5. The 3 month Treasury bill rate reached 5.6 per cent towards the end of September, up from 3.8 per cent in June 1965. Yields on new issues of high-grade corporate bonds moved from 4.6 per cent to 5.8 per cent in October and the rate on prime commercial paper rose from 4.4 per cent to 6.0 per cent over the same period. There have been marked falls in stock prices, which in October stood at their lowest levels since 1963.

Diagram 5. **INTEREST RATES**

MONTHLY AVERAGE



Source: Federal Reserve Bulletin.

In September, in addition to the fiscal programme that was presented to Congress, a number of monetary measures were taken to relieve the apprehension in financial markets caused by the accelerating rise in interest rates, and to ensure that the impact of monetary restraint would be more balanced and orderly:

i) The Federal Reserve announced that Member banks would be expected to make adjustments in their positions more through restraint of business lending and less through sales of securities;

ii) The Treasury announced that in the rest of 1966 no additional new money would be raised by security issues of the US agencies in the market and that there would be no sales of participation certificates unless market conditions improved mater-

ially. The volume of new money borrowing by Federal agencies and participation sales earlier in the year, along with expectations of sizeable additional demands from these sources, had been an unsettling factor in the market. Any necessary new money borrowing in the rest of the year will be done directly by the Treasury and should result in an overall reduction in the demands made on the market, thereby easing the pressure on interest rates.

iii) Legislative steps have been taken to improve the mortgage situation and relieve the upward pressure on interest rates. Congress authorised the Federal National Mortgage Association to raise nearly $5 billion to help finance housing. Legislation was passed giving the authorities discretionary power, on a temporary basis, to control maximum interest rates payable on " consumer " time deposits (deposits of less than $100,000). The same legislation raised the maximum reserve requirement the Federal Reserve can impose on time deposits to 10 per cent;

iv) Thus empowered, the authorities imposed a 5 per cent ceiling on " consumer " time deposits in banks and ceilings ranging from 4.75 per cent to 5.25 per cent on interest payable on deposits at savings and loan associations. The object was to limit further escalation of interest rates paid in competition for consumer savings, and to put the savings and loans associations in a better position to attract them.

Though the full effect of these measures is not yet known, several significant changes can be observed recently. Long-term interest rates have declined from their peaks in late August. Yields on both government and corporate bonds have fallen. Stock prices have stabilised and have shown moderate gains. While rates on Treasury bills moved up in anticipation of heavier Treasury borrowing later in the year, they have eased slightly in recent weeks.

Prospects

Present indicators are for a continued moderate advance in the fourth quarter with the disparate movements of demand continuing. Available indicators suggest that defence expenditure and business investment in machinery and equipment have continued to rise fast, but that both residential and non-residential construction may show further strong declines. Private consumption has continued to rise although perhaps not as rapidly as non-consumption expenditure.

In recent public debate in the United States many observers have been viewing the business situation in 1967 as likely to be less buoyant,

influenced by the uncertainties related to the Vietnam situation, the marked falls in stock market prices, the possible consequences for business investment of tight monetary conditions as well as their already major impact on residential and non-residential construction. Defence spending has been a major dynamic element in 1966, and much clearly depends on the assumptions made about the development of the Vietnam situation and its implications for government spending. With a levelling off or decline in the actual level of defence spending, the rise in aggregate demand would no doubt slow down considerably. Under those circumstances there could be need for measures to stimulate activity in order to avoid too marked a slowdown of the expansion.

A further rapid rise of defence expenditure would probably generate continued strong expansion of activity, although much would depend on the actual rate of growth of defence outlays, a matter about which there is little certainty at the present time. From mid-1965 through mid-1966 defence outlays rose at an average rate of $2 billion a quarter. But the rate has been accelerating: $2 billion in the first quarter of 1966, $2.5 billion in the second quarter, and over $4 billion in the third. The last figure included a non-recurring increase in pay rates of $0.75 billion. The fourth quarter would show an additional increase of $3 billion or more. While the large rise in defence orders during 1966 and prospects for further increases in numbers of military personnel amount to further rises in spending into next year, there is no reason to assume that the rate of increase experienced in the second half of this year should be extrapolated throughout 1967. The current outlook for trends in private demand, as discussed in subsequent paragraphs, suggests that, if defence expenditure were to rise by $2 billion a quarter in current prices during 1967, real GNP might be expected to grow by close to 4 per cent next year. This would imply that a much faster expansion of defence would require tax increases to hold the real demand growth to the 4 per cent rate which the Administration has stated as its target for next year. There are, however, many uncertainties also with regard to the strength of private demand; recently the movement of business indicators has been somewhat irregular, and it cannot be excluded that the overall picture will be rather weaker than suggested above.

Federal civilian expenditure is rising more slowly than defence spending. Congress has shown some tendency to add to the January requests, but the programme adopted in September by the Administration to curb non-defence expenditures should limit their growth. States' and local authorities' purchases of goods and services are growing fairly steadily by $6 billion a year in current prices. This trend will probably continue in 1967.

Business fixed investment is a key factor in the outlook. The slowdown of the expansion since March, and the existing uncertainties in

credit markets, may adversely influence business confidence. But some of the basic factors influencing investment decisions, notably the pressure on capacity and the profit outlook, could suggest continued strong investment demand. The high rate of capacity utilisation and heavy volume of unfilled orders in manufacturing suggest that pressures on capacity are stronger than at any time in the past decade. Profits have risen rapidly in recent years and are now in relation to gross corporate product at their highest level for ten years. Given the general demand outlook, profits should continue to be a favourable factor in investment decisions. But the advance in profits may be more moderate than earlier, because the scope for a further increase in capacity utilisation is now limited by the high rate already attained, and because wages are likely to rise faster than earlier. In the third quarter of 1966, total profits actually dipped slightly, primarily reflecting the unusual pattern of automobile sales this year.

The suspension of the 7 per cent investment tax credit introducted in 1962 and of the accelerated depreciation allowances for new structures will no doubt serve somewhat to restrict the growth of business investment. The suspension of the investment credit will reduce after-tax profits; the US authorities have estimated that the after-tax return for typical investments in machinery and equipment would be reduced from 12 or 13 to 10 per cent. Moreover, suspension will reduce corporate cash flow. In 1966 the investment credit was adding $2 billion and accelerated depreciation $0.5 billion to after-tax corporate profits, together representing 3.5 to 4 per cent of the corporate cash flow after taxes and dividend payments; suspension in the form finally enacted will reduce cash flow in 1967 by something under half this amount. However, the fact that the measure merely suspends rather than removes the credit should give it greater force. Estimates recently collected from a large sample of firms by the McGraw-Hill Department of Economics suggest that due to the suspension of the tax credit and accelerated depreciation, investment spending will be $1.5 billion lower in 1967 than it would otherwise have been.

Lack of finance could also moderate the rise in business investment. In recent years, corporate cash flow has not been sufficient to finance business investment; also, it has grown more slowly than business investment so that the need for external finance has increased rapidly. The prospects for cash flow and the availability of external finance in 1967 are difficult to assess. Cash flow will continue to grow but the rate of increase will be slowed by a substantial ($3 billion) speedup in the payment of corporate taxes in the first half of 1967. If monetary policy maintains its present posture, bank credit will be more difficult to obtain. In addition, the recent measures taken to increase the availability of mortgage funds will limit the volume of credit available for other sectors. On balance, from a purely financial point of view, business investment would be expected to grow at a slower pace in 1967 than in 1966.

TABLE 10. **CORPORATE FINANCE**

$ billion, seasonally adjusted annual rates.

	1963	1964	1965	1966 FIRST HALF
Investment in plant, equipment and inventories	46.7	52.2	61.9	71.3
Internal cash flow	43.8	47.6	54.6	56.9
External resources, net	2.9	4.6	7.3	14.4

Source: Flow of Funds Statistics.

The overall outlook for business investment suggests that plant and equipment expenditures will continue to be influenced by the forces that pushed them up rapidly in the past three years — high operating rates, growing sales, and increasing cash flow. But the suspension of tax incentives, the impact of tight money, and the recent and expected more moderate pace of overall activity point to some slowing in the rate of growth of investment. The McGraw-Hill Survey published in November pointed to a 5 per cent increase in business fixed investment in current prices in 1967. Although this survey, which is taken at an early date, tends to underestimate investment demand in periods of expanding overall activity, it does suggest a considerably smaller increase in business fixed investment in 1967 than in 1966. Some moderation is in fact desirable if the economy is to achieve a balanced growth of actual and potential output. The full effect of current investment spending has not yet been felt in capacity. With much new capacity yet to come into use, a more moderate growth in investment is desirable if operating rates are to remain near their preferred levels. Thus, recent indications that the growth in investment spending in 1967 may no longer outpace the growth in GNP are a welcome sign.

Largely because of severe credit restraints concentrated on mortgage markets residential construction has been a weak sector this year. The measures recently taken to increase the flow of funds to the mortgage market should help to moderate any further decline in housing starts. But the decline in starts which has already taken place promises a further fall in residential construction activity at least through the fourth quarter, even if starts do not decline significantly further. Next year, demographic factors will be favourable to some recovery in housing if credit conditions permit. Since inventory investment is sensitive to the rate of change as well as level of final demand, the lower rate of growth of total demand in 1967 than in 1966 will serve to reduce inventory investment next year by comparison with this year's high levels. Continuation of the present restrictive monetary environment will reinforce this trend.

Private consumption seems likely to rise roughly in line with non-consumption expenditure. Wages and salaries and transfer payments will increase significantly faster relative to output than in 1966, but the effect of this on consumer expenditure may be partially offset by a slight rise in the savings ratio, following the decline in 1966.

Wage increases in the organised sectors, particularly manufacturing, which have been largely offset or more than offset by productivity gains in recent years, may begin to exert some upward influence on costs in 1967. The calendar of collective bargaining agreements to be concluded is heavier next year than it has been this year, and the pressure of wage demands, which has already escalated in response to this year's faster price rise, will likely increase further. Moreover, there will be little further occasion for special productivity gains associated with rising operating rates. But some aspects of the labour market should be less inflationary by comparison with this year. There will be less pressure than in 1966 from an expanding manufacturing sector, which has been drawing experienced workers away from the service industries, leading to accelerated wage rises which are quickly translated into higher service prices. Also the corporate sector, after an unusually extended period of expanding productivity and profits, should be able to absorb higher wage demands with less than a full reflection in prices, and considerable effort is being exerted by the Administration, in pursuance of its " guideposts " policy, to encourage this result. Profit margins may well be narrowing already. Other important factors pointing towards an improvement compared to this year's price performance lie in the outlook for the farm sector and raw materials. In response to a 10 per cent increase in acreage permitted by Federal farm programmes for next year, supplies of farm products will likely be considerably better next year than this. Supplies of industrial raw materials are considerably more elastic in the longer run than in the short run. Prices have been falling in recent months, in marked contrast to their sharp rise in the second half of last year and the first half of this. Furthermore, a more moderate rate of growth of demand and some easing of capacity utilisation should reduce price pressures. US authorities are looking for a rise in GNP deflator next year of 2.75-3 percent, which would represent an improvement compared to the 1966 experience.

II. BALANCE OF PAYMENTS

In 1965, the balance of payments deficit on a liquidity basis amounted to $1.3 billion, a marked improvement on the $2.8 billion deficit of 1964 and the $3 billion average yearly deficit in the period 1958-63. The deficit calculated on the basis of official reserve transactions was also

about $1.3 billion in 1965[1]. The improvement reflected the success of the measures taken by the Government early in 1965 to restrict the capital outflow; these measures consisted mainly of the extension of the interest equalisation tax to cover long-terme bank loans, and the voluntary balance of payments programmes related to both financial and non-financial business firms. Despite the improvement, however, it became clear that the measures were not sufficient to ensure return to balance of payments equilibrium, and in December 1965 action was taken to reinforce existing programmes.

The new programme included action to encourage exports, promote foreign tourism and foreign investment in the US, and to minimize the effect of government transactions on the foreign balance. New guidelines were introduced for direct investment by non-financial corporations. About 900 individual corporations (only 500 had been included in the original programme) were requested to restrict their combined 1965 and 1966 direct investment outflows (plus earnings retained abroad) in specified advanced countries and mineral-exporting nations to no more than 90 per cent of the total of these items in the three years 1962-64. This was designed to ensure that direct investment in 1966 would be lower than in 1965, even if still high compared with outflows in earlier years. The ceiling on bank lending to non-residents of the United States introduced early in 1965 (limiting loans outstanding in 1965 to 105 per cent of their end 1964 level) was lifted by one percentage point per quarter, to reach 109 per cent by the end of 1966. More detailed regulations were introduced for non-bank financial institutions. Agreement was reached with the Canadian authorities to the effect that Canada's continued exemption from the Interest Equalisation Tax should not be allowed to result in any threat to the goals of the US programme.

In the first half of 1966, despite mounting costs in connection with the Vietnam conflict, the seasonally adjusted balance of payments deficit on a liquidity basis, at an annual rate of $1.3 billion, was held to the 1965 level. The deficit on the balance of official reserve transactions was reduced from $1.3 billion in 1965 to an annual rate of $0.8 billion. The current account surplus fell sharply, partly because of a smaller trade surplus and partly because of the rise in military expenditure; net services, excluding military expenditure, changed little. The capital account improved, because an inflow of foreign funds more than offset a larger outflow of US capital. In the third quarter, the liquidity deficit (preliminary) slightly exceeded $200 million (about $850 million at an annual rate), well below the average of the first two quarters. Among the factors contributing to this situation were two substantial debt prepay-

1. The balance of payments in Terms of OECD concepts—showing the balance on non-monetary transactions and the official settlements account—is given in the statistical annex, Table V.

TABLE 11. BALANCE OF US PAYMENTS

$ million.

	1961	1962	1963	1964	1965	1966 1ST HALF SEAS. ADJ. ANNUAL RATE	1966 3RD QTR. SEAS. ADJ. ANNUAL RATE
Current account	3,035	2,454	3,113	5,725	4,163	2,612	n.a.
Capital account (excluding reserve and liquid assets)	— 5,405	— 4,657	— 5,783	— 8,523	— 5,500	— 3,934	n.a.
Balance on liquidity basis[1]	— 2,370	— 2,203	— 2,670	— 2,798	— 1,337	— 1,322	— 868
Balance on official reserve transactions[2]	— 1,347	— 2,706	— 2,044	— 1,546	— 1,305	— 848	3,972

1. Change in US official reserve assets and in liquid liabilities to *all* foreigners.
2. Change US official reserve assets and in liquid and certain non-liquid liabilities to foreign *official* agencies.

Source: Survey of Current Business.

TABLE 12. BALANCE OF PAYMENTS — CURRENT ACCOUNT

$ million.

	1960	1961	1962	1963	1964	1965	1965[1] 1ST HALF	1965[1] 2ND HALF	1966[1] 1ST HALF	1966[1] 3RD QTR
1. Merchandise exports[2]	19,489	19,954	20,604	22,071	25,297	26,276	24,486	27,706	28,564	29,620
2. Merchandise imports	14,732	14,510	16,187	16,992	18,621	21,488	20,274	22,702	24,522	26,720
3. Trade balance	4,757	5,444	4,417	5,079	6,676	4,788	4,572	5,004	4,042	2,900
4. Military expenditures	— 3,069	— 2,981	— 3,083	— 2,936	— 2,834	— 2,881	— 2,730	— 3,032	— 3,534	n.a.
5. Income on investment, net	2,351	3,007	3,369	3,383	3,988	4,255	4,800	3,710	4,530	n.a.
6. Other services, net	7	151	427	371	660	795	680	910	788	n.a.
7. Unilateral transfers, net[2]	— 2,362	— 2,586	— 2,676	— 2,784	— 2,765	— 2,794	— 2,860	— 2,728	— 3,170	n.a.
8. Current account balance	1,684	3,035	2,454	3,113	5,725	4,163	4,462	3,864	2,656	n.a.

1. At seasonally adjusted annual rates.
2. Excluding transfers under military grants.

Source: Survey of Current Business.

ments totalling $215 million. The official reserve transactions balance showed a seasonally adjusted surplus of nearly $1 billion (about $4 billion at an annual rate) for the 3rd quarter, reflecting a shift of funds from foreign official to foreign private account as large US bank bid aggressively for Euro-dollars through their foreign branches in response to the tight credit situation in the United States.

The trade surplus, which had been on a strong upward trend in the first half of the 1960's, reached a peak in 1964. Il has fallen sharply over the last eighteen months to a seasonally adjusted annual rate of $3.7 billion in the first nine months of 1966, $3.0 billion below the 1964 rate, reflecting, notably, increases in imports of 15 per cent in 1965 and 17.5 per cent, at a seasonally adjusted annual rate, in the first nine months of the present year; the advance would have been even faster had it not been for releases from government stockpile of non-ferrous metals and rubber in the first half of 1966 valued at about $300 million, over 2 per cent of total imports. The increase in imports has been much faster in relation to the rise in GNP than in recent years, interrupting the virtual stability of the import/GNP ratio of the 1960-1964 period. There is no indication that costs and prices have developed unfavourably; on the contrary, as noted in the first part of this Survey, unit labour costs in manufacturing have remained fairly stable, and available information points to relatively stable export prices also. It seems that the unfavourable trend in imports can mainly be ascribed to three factors, although it is difficult to distinguish their effects in quantitative terms. First, the fast rate of growth of domestic demand has no doubt played a major rôle. Second, the higher level of demand has entailed stronger pressure on capacity, with longer delivery schedules for domestic orders and a spillover to imports. Third, the change in the pattern of expenditure, with demand for defence products and machinery and équipment rising particularly fast, has probably been an important factor. In the first three quarters of 1966 imports of machinery and transport équipment were 69 per cent higher than a year earlier. Part of this was due to a marked increase in imports of automobiles which was not so much related to domestic demand as to the free trade agreement in automobiles with Canada in 1965. (This led to a strong increase in both exports and imports of automobiles.) But imports of machinery and other types of equipment also rose steeply because of bottlenecks in domestic industry.

Exports in the first three quarters of the year were running at a level some 10 per cent above the 1965 rate. This comparison, however, is influenced by the fact that exports had been adversely affected in the first quarter of 1965 because of the shipping strike. When adjustment is made for this, the rise is 9.1 per cent. Third quarter export rise was 8.5 per cent over the third quarter, 1695, and 4.1 per cent over the second quarter, 1966. Cotton exports were low in the second quarter, probably in anticipation of the new policy under which, as from lst

August, cotton prices are determined by world market conditions, entailing a reduction in the price paid by foreign purchasers. Receipts of export orders for machinery also point to higher shipments in the second half of the year. It cannot be excluded, however, that the trend in exports has been influenced by the strength of home demand, with some exports being diverted to the domestic market.

The rise in defence spending associated with the Vietnam situation has had important adverse effects on the balance of payments. Between the first halves of 1965 and 1966 the increase in the annual rate of military expenditure abroad, most of it related to Vietnam, totalled $800 million. Moreover, the sharp increase in defence expenditure has had important indirect effects ont the foreign balance via its impact on the growth and pattern of domestic demand. The overall level of demand may not be very different from what the US authorities would have wished, but the defence build-up has at times entailed a very fast rate of growth and a pattern of domestic expenditure with a particularly high import content. In the absence of the defence build-up, the US balance of payments might have been very near to equilibrium, although much would obviously have depended on the fiscal and monetary policies pursued.

The net deficit on other current transactions plus unilateral transfers rose somewhat in the first half of the year. US Government grants abroad rose, and the deficits on travel and transportation also increased somewhat. Net receipts from foreign investment rose rather less than earlier, but this was due to the exceptionally strong increase in this item in 1965, influenced by the balance of payments programmes adopted in February last year. There was little net effect from the higher level of interest rates, as increased payments were about balanced by higher receipts from abroad.

The deficit on capital account (defined as transactions in non-liquid, non-reserve assets) had fallen sharply to $5.5 billion in 1965, strongly influenced notably by the balance of payments measures adopted in February. It fell further to an annual rate of $3.9 billion in the first half of 1966. Both the measures taken towards the end of last year and the tightening of monetary conditions contributed to this. There was a sharp increase in the proportion of US direct investment in other countries financed by borrowing abroad. Moreover, lending to other countries was reduced and foreign funds were attracted to the United States.

The outflow of US capital rose in the first half of 1966, after a sharp decline last year. US government lending abroad was not much higher than in 1965, but the outflow of private capital increased. The main factor behind this was an increase in direct investment abroad. This increase, however, was entirely due to the re-investment abroad of funds obtained abroad through sales of US corporate securities. Excluding

TABLE 13. **BALANCE OF PAYMENTS — CAPITAL ACCOUNT AND OVERALL BALANCES**

$ million.

	1960	1961	1962	1963	1964	1965	1965[1] 1ST HALF	1965[1] 2ND HALF	1966[1] 1ST HALF	1966[1] 3RD QTR. (PRELIMINARY)
1. Transactions in US private assets, net	— 3,885	— 4,180	— 3,425	— 4,456	— 6,523	— 3,690	— 3,902	— 3,478	— 4,010	
2. — direct investment	— 1,674	— 1,599	— 1,654	— 1,976	— 2,416	— 3,371	— 4,142	— 2,600	— 3,288	n.a.
3. — new issues	— 555	— 523	— 1,076	— 1,250	— 1,063	— 1,206	— 1,100	— 1,312	— 1,296	1,144
4. — claims reported by US banks	— 1,150	— 1,261	— 451	— 1,535	— 2,464	94	— 268	456	278	428
5. — other	— 506	— 797	— 244	305	— 580	793	1,608	— 22	296	n.a.
6. Transactions in foreign assets in the US, net (excluding liquid assets)	366	707	1,021	689	685	194	388	—	2,384	n.a.
7. US Government assets, excluding official reserve assets, net	— 1,105	— 926	— 1,094	— 1,664	— 1,674	— 1,575	— 1,672	— 1,478	— 1,606	n.a.
8. Errors and omissions, net	— 941	— 1,006	— 1,159	— 352	— 1,011	— 429	— 218	— 640	— 742	n.a.
9. Balance on liquidity basis Financed by:										
10. — transactions in US official reserve assets, net	2,143	606	1,533	378	171	1,222	1,820	624	984	328
11. — change in liquid liabilities to foreigners	1,738	1,764	670	2,292	2,627	115	— 878	1,108	338	540
12. Balance on official reserve transactions	— 3,402	— 1,347	— 2,706	— 2,044	— 1,546	— 1,305	— 758	— 1,852	— 848	3,972

1. At seasonally adjusted annual rates.

Source: Survey of Current Business.

these funds, direct investment was running at an annual rate of $2.7 billion, less than the $3.1 billion recorded in 1965 (omitting a major transaction offset in other capital accounts). Purchases of newly-issued foreign securities were also higher than in 1965, mainly because the issue of $150 million worth of Canadian securities had been deferred from the fourth quarter of 1965 to the first quarter of 1966. Excluding this $150 million, the volume of new foreign issues in the first quarter was running at an annual rate of $1 billion, as compared with the $1.2 billion outflow on this account in 1965. The decline was probably related to the growing difficulties in obtaining funds and the higher interest rates. Redemptions were higher than earlier because of advance repurchases by the Canadian Government of its own obligations. There was a reflux of banking funds, continuing the trend established after the February measures of last year, and contrasting strongly with the large outflows of earlier years. Since the total of bank loans outstanding at the end of September was over $1 billion below the ceiling suggested by the official guidelines, the reflux of banking funds can mainly be ascribed to the tightening of monetary conditions in the United States. The first quarter of this year showed an inflow of $204 million seasonally adjusted. The second quarter showed a new outflow of $125 million which was offset by another inflow of $107 million in the third quarter.

The inflow of foreign capital (other than liquid funds) in the first half of this year rose to an annual rate of $2.4 billion, substantially higher than in any of the three preceding years. (In 1965 it had been particularly low because of the liquefication by the British Government of about $0.5 billion worth of US securities.) The higher inflow in 1966 could mainly be ascribed to two factors. First, foreign purchases of US securities (other than Treasury issues) rose sharply to an annual rate of $1.3 billion. Almost $1 billion of this consisted of funds raised by US corporations through sale of securities abroad; the inflow on this account had been insignificant in the first half of 1965 but had risen to an annual rate of $0.4 billion in the second half. Since longterm interest rates in the United States, despite their sharp rise, have remained generally lower than those prevailing abroad, the increase in corporate borrowing abroad can mainly be ascribed to the official balance of payments guidelines. Second, a major factor affecting the balance of payments measured on the liquidity basis was a rise from $0.2 billion in 1965 to an annual rate of $0.9 billion in the first half of 1966 in foreign purchases of certificates of deposit and other forms of deposit with an original maturity of more than one year. Most of the inflow this year came in the second quarter and consisted of purchases made by foreign official and international organisations. This was no doubt influenced by the higher yields on certificates of deposits and the fact that the marketability of these certificates has improved. While in a formal sense the foreign purchases of these certificates represented a long-term capital inflow (maturity of more than one year) it is debatable how lastingly they improve the balance

of payments; the maturity of most of the certificates is just over one year and they are virtually as liquid as shorter-term deposits. Nevertheless, their purchase represents to some extent an investment type of transaction other than a pure reserve type of transaction. The above purchases continued in the third quarter, but apparently on a much reduced scale.

The first half of the year is normally a favourable season for the US balance of payments. In fact the deficit on a liquidity basis, not adjusted for seasonal variations, amounted to $200 million in the first half of 1966. Its financing is shown in Table 14. On an official reserve transactions basis, unadjusted for seasonal variation, a surplus of $494 million was recorded for the first three quarters of the year. During the same period, the gold stock declined by $450 million, reducing it to $13,356 million by the end of September.

TABLE 14. **RESERVE MOVEMENTS**

$ million.

	1965	1966	
		1ST HALF	3RD QTR.
Balance on liquidity basis, seasonally adjusted	— 1337	— 661	— 217
Balance on liquidity basis, unadjusted	— 1337	— 200	— 712
US official reserves, decrease (—)	— 1222	— 492	— 82
Gold	— 1665	— 277	— 173
Convertible currencies	349	— 59	426
IMF gold tranche position	94	— 156	— 335
Liquid liabilities to foreigners, increase (—)	— 115	292	— 630

Source: Federal Reserve Bulletin.

Prospects

The second half of 1966 may see some further deterioration of the current account. Exports should expand faster than in the first half, given the likely advance in world trade and the better outlook for agricultural exports, notably cotton. But the rise in imports remained strong in the third quarter and may not weaken much in the fourth. Gross military expenditure abroad has probably continued to increase, given the sharp rise in total defence expenditure; but unusually large receipts under the military offset agreements are likely. Some improvement may be achieved on other current items, with higher interest and dividend receipts more than offsetting the growing deficits on travel and transportation.

It is uncertain whether the possible deterioration on current account can be offset by an improvement of the capital account. The outflow of US capital may not change much. The issue of Canadian securities should be smaller than in the first half of the year, but direct investment abroad appears to be continuing at a relatively high rate. In the first half of the year the proportion financed by funds raised abroad was very high, but it is uncertain whether this will be maintained since the volume of new securities sold abroad by US corporations has recently been running at a lower level than in the first half of the year. To some extent this has been replaced by short- and medium-term borrowing abroad. While the outlook for bank lending abroad is uncertain, continued tight monetary conditions in the United States suggest there will be some further reflow. Tight monetary conditions should also help to maintain a substantial inflow of foreign non-liquid capital, although it is uncertain whether it will continue as high as in the first half of the year. It cannot be excluded, therefor, that the improvement of the capital account will be smaller than the possible decline in the current account surplus, so that the overall balance of payments deficit on the liquidity basis may tend to rise in the second half of the year. On the other hand, the deficit on the official reserve transactions basis may be less in the second half as a result of the massive inflow of foreign private liquid funds noted earlier.

Balance of payments prospects for 1967 depend heavily on both the rate of growth and the pattern of demand. The Administration aims at a growth of real GNP of 4 per cent. If this were accompanied by a levelling-off of defence spending, the current account should improve substantially. And the increase in imports would probably slow down considerably both because the rate of growth of aggregate demand would be more moderate than in 1966, and because the pressure on the defence and capital goods industries would ease; bottlenecks in these industries have contributed importantly to the sharp rise in imports over the past year. Military expenditure abroad might cease to rise. If defence expenditure should continue to rise fast, the outlook would be more uncertain. Military expenditure abroad would probably continue to increase, and the effect on imports of the slowdown of the rate of growth of real GNP to 4 per cent should to some extent be offset by the effect of an unfavourable pattern of demand, with continued pressures on the defence and capital goods industries and a spill-over to imports. Nevertheless, even on the assumption of a continued high rate of defence expenditure, the US authorities expect the rise in exports and net service receipts (including interest and dividend earnings) to lead to an improvement in the current account. The capital account is difficult to forecast. But if no further measures to strengthen it were taken, there would seem little reason to expect any major decline in the net capital outflow. On the other hand, if such measures were taken, the decline in the US capital outflow could help to offset a possible reduction in the inflow of non-liquid foreign capital.

Over the somewhat longer-term there would seem to be elements of considerable strength in the US foreign balance. During the first half of the 1960's the current surplus rose sharply, reflecting notably a higher trade surplus and growing investment income. Year-to-year movements were irregular, but the trend in the current account surplus was strongly upwards. The improvement was, however, largely offset by an increase in the net capital outflow, so the overall foreign balance remained in deficit.

It would seem reasonable to expect the growth of the current surplus to be resumed in the second half of the decade, mainly for three reasons. First, as already noted, the defence build-up associated with the Vietnam situation has had an important adverse impact on the foreign balance, both directly in the form of military expenditure abroad, and indirectly in the form of a faster rate of growth of imports than would otherwise have taken place. When the defence build-up is reversed, the foreign balance should improve significantly.

Second, income on foreign investment has been rising fast, from $2.4 billion in 1960 to $4.3 billion in 1965. This trend might well continue in the years ahead, given a continued improvement of the foreign investment position of the United States. The rate of increase may be faster or slower than in the past, depending on a number of things, notably the rate of increase of net foreign assets. Since there are reasons to believe that a considerable current surplus will be restored once military expenditure is reduced to a paecetime level, a further significant increase in investment income would seem likely.

TABLE 15. **US ASSETS AND INVESTMENT ABROAD**

End of year, in millions of dollars.

	1950	1963	1964	1965[1]
Private investment	19,004	66,513	75,820	80,942
Long-term	17,488	58,330	64,919	70,801
Short-term	1,516	8,183	10,901	10,141
U.S. Government credits and claims	12,535	21,788	23,299	25,123
Total	31,539	88,301	99,119	106,065
Memorandum:				
Foreign assets and investments in U.S.	17,635	51,486	56,883	58,932

1. Provisional.

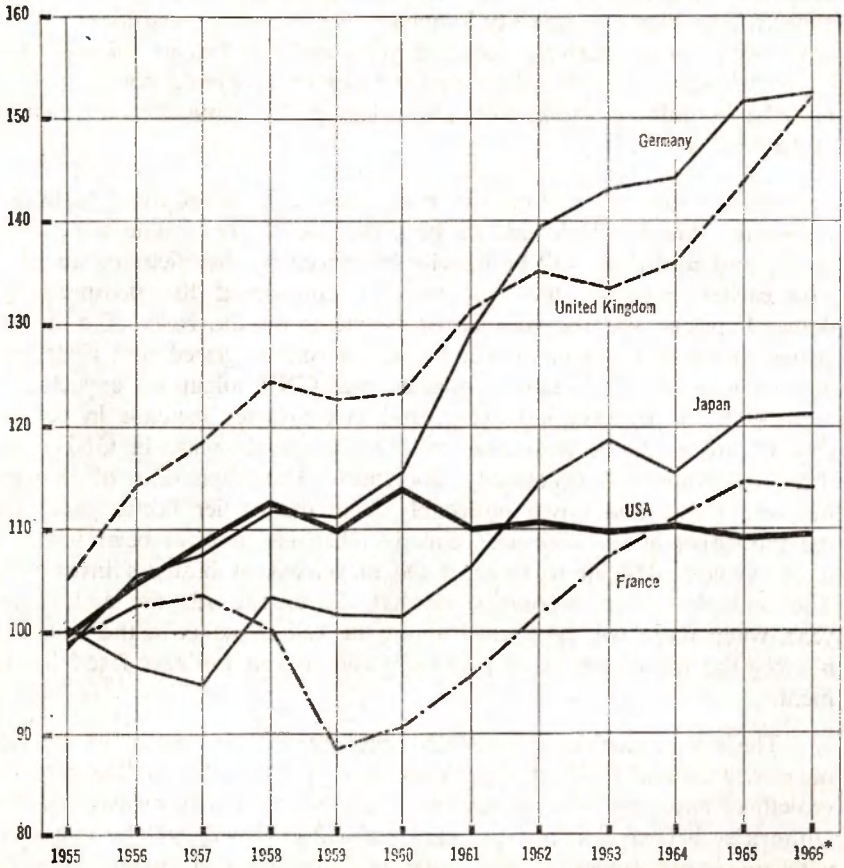
Source: Survey of Current Business.

Third, the considerable improvement of the US labour cost position in recent years should be an element of considerable strength. This was an important factor behind the increase in the trade surplus from $4.8

billion in 1960 to $6.7 billion in 1964. As already noted, the decline in the trade surplus to less than $4 billion at an annual rate in the first three quarters of 1966 was not caused by a deterioration of the cost position; on the contrary, the relative position has continued to improve (see Diagram 6). This should provide a basis for increasing the US trade surplus. Much, however, will also depend on how successsful economic policy will be in avoiding excessive demand pressures and rising costs from now on. As recent developments have shown, this will require careful management of the domestic economy. Assuming a reasonably

Diagram 6. **MANUFACTURING INDUSTRIES UNIT LABOUR COSTS** (*1953 = 100*)

IN $



* 1st half.
Source: Secretariat's estimates.

good US policy performance, and in particular that the pressure of demand is kept at an appropriate level from the point of view of economic stability, the trade surplus should begin to rise again, restoring the trend of the first half of the decade.

III. POLICY CONCLUSIONS

During the first half of the 1960's a main concern of the US authorities was to increase the levels of activity and employment, at the same time as making progress towards external equilibrium. The maintenance of price stability was helped by the prevailing degree of slack in the economy. By 1966, the slack had been eliminated and, as was to be expected, problems of stability loomed larger in policy discussion. Prices have been rising relatively fast this year, and the balance of payments has remained in deficit. Two major tasks of economic policy in 1967 must be to limit the rise in costs and prices, and to strengthen the balance of payments.

At the time of writing the policy implications of these tasks are not clear. Much will depend on both the rate of growth and the pattern of demand, and these will be heavily influenced by the Vietnam situation. The earlier parts of this Survey have considered the prospects for demand, prices and the balance of payments on the basis of a further strong increase in defence expenditure. It was suggested that if defence outlays rose by $2 billion a quarter real GNP might be expected to increase by 4 per cent next year, and that a faster increase in defence expenditure might be associated with a stronger increase in GNP. But these estimates are necessarily uncertain. The expansion of demand has recently slowed down noticeably from the earlier hectic pace, and the full effect of the measures already taken has not yet been seen. It is particularly difficult to forecast the movement of business investment. The outlook should become somewhat clearer towards the end of the year, when more will be known about the key elements in the situation, notably the future trends of Federal spending and business fixed investment.

The US authorities have stated their intention to maintain the rate of growth of real GNP at 4 per cent next year, roughly in line with the growth of capacity, if necessary by taking further policy measures. The authorities believe that a 4 per cent real GNP growth will be consistent with an improvement of the price performance and further progress towards balance of payments equilibrium, although there are a number of uncertainties in the situation.

There are indications that the rise in prices has slowed down. The more moderate rate of increase of demand, and an easing of capacity utilisation in manufacturing should ease the pressure on prices. With an increase in supplies of farm products, it would seem reasonable to expect a better price trend in this area. On the other and, wage increases have accelerated this year, and there is clearly a possibility that this trend will continue in 1967, given the rise in prices that has already taken place, and the large number of wage contracts falling due for renegotiation next year. It is therefore likely that wages will continue to rise faster than productivity, with a rise in labour costs. In these circumstances, and with general demand conditions remaining buoyant, it cannot be excluded that the pressure on prices will remain strong. The US authorities feel, however, that the rise in wages and prices next year to a large extent will be a lagged response to the strong rise of demand in the recent past, and not reflect any excess demand conditions in 1967, assuming that the rate of growth of real GNP is limited to 4 per cent. The rise in costs and prices is therefore expected to slow down gradually, as the effects of the strains on the economy in 1966 work themselves out in the economic system.

The US authorities also expect the growth target to go hand in hand with an improvement of the balance of payments, mainly because of a slowdown of the rise in imports, generated by the more moderate rate of growth of overall demand and some easing of the bottlenecks in the industries supplying defence products, machinery and equipment. They foresee such a result even if the rise in defence expenditures were so large as to require policy actions to hold the growth rate to 4 per cent. While the defence sector might, in such a setting, intensify demands on the industries which are now under greatest strains of capacity utilisation or shortage of labour skills, the deceleration in demand for business fixed investment and from other private sectors would still make it likely that total pressures on industries with capacity problems would be reduced and that some inprovement in the current account balance would occur. Nevertheless, it cannot be excluded that with a very rapid defence build-up the strains on industries that jointly supply the defence and private sectors will remain strong, entailing a continued spill-over into imports. This could entail a further deterioration of the current account. If this should jeopardize a further improvement of the balance of payments, the authorities recognize that additional measures might be required and remain flexible as to what steps could be taken.

If further measures should be necessary to keep the rate of growth of real GNP at 4 per cent, it would not be irrelevant how the increase in demand would be restricted. A considerable tightening of monetary policy has already taken place. Given that its domestic impact tends to fall heavily on construction, it would seem appropriate that any further measures that may be required should be concentrated on fiscal

policy. Action with a strong impact on civilian demand for products produced by the defence industries would be desirable, since it would alleviate the pressures on wages, prices and imports where they are most strongly felt.

The situation would, of course, be very different if defence spending levelled off or declined. The disappearance of the main dynamic element in the current expansion would have a marked impact on aggregate demand, and it would no doubt be accompanied by a weakening of private demand, notably inventory accumulation and business fixed investment. With the easier credit situation that would seem likely to develop, housebuilding could pick up rather quickly; a temporary slowdown of the general expansion might be difficult to avoid, but it would not necessarily be very marked. Government spending plans that are now being restrained could probably be activated fairly quickly. And the 1964 experience showed that a tax cut can have a rapid and significant impact on demand.

In the face of all the uncertainties in the outlook, a high premium must be placed upon rapid diagnosis of the economic situation, and on the utmost flexibility in economic policy.

STATISTICAL ANNEX

BLANK PAGE

TABLE I. NATIONAL PRODUCT AND EXPENDITURE IN CURRENT PRICES

Billions of dollars.

	PERSONAL CONSUMPTION EXPENDITURE	GROSS PRIVATE DOMESTIC INVESTMENT	OF WHICH:			NET EXPORTS OF GOODS AND SERVICES	GOVT. PURCHASES OF GOODS AND SERVICES	OF WHICH:		GROSS NATIONAL PRODUCT
			NEW CONSTRUCTION	PRODUCER'S DURABLE EQUIPMENT	NET CHANGE IN BUSINESS INVENTORIES			FEDERAL	STATE AND LOCAL	
1952	216.7	51.9	28.6	20.2	3.1	2.2	74.7	51.8	22.9	345,5
1953	230.0	52.6	30.6	21.5	0.4	0.4	81.6	57.0	24.6	364.6
1954	236.5	51.7	32.7	20.6	—1.5	1.8	74.8	47.4	27.4	364.8
1955	254.4	67.4	37,6	23.8	6.0	2.0	74.2	44.1	30.1	398.0
1956	266.7	70.0	38.9	26.5	4.7	4.0	78.6	45.6	33.0	419.2
1957	281.4	67.9	38.1	28.3	1.3	5.7	86.1	49.5	36.6	441.1
1958	290.1	60.9	37.4	25.0	—1.5	2.2	94.2	53.6	40.6	447.3
1959	311.2	75.3	42.1	28.4	4.8	0.1	97.0	53.7	43.3	483,7
1960	325.2	74.8	41.0	30.3	3.6	4.1	99.6	53.5	46.1	503.8
1961	335.2	71.7	41.0	28.6	2.0	5.6	107.6	57.4	50.2	520.1
1962	355.1	83.0	44.6	32.5	6.0	5.1	117.1	63.4	53.7	560.3
1963	375.0	87.1	46.5	34.8	5.9	5.9	122.5	64.2	58.2	590.5
1964	401.4	93.0	48.6	39.7	4.7	8.5	128.9	65.2	63.7	631.7
1965	431.5	106.6	52.7	44.8	9.1	7.0	136.2	66.8	69.4	681.2
1963[1]: 1st quarter	368.2	82.7	44.9	33.2	4.7	4.6	121.9	65.0	56.9	577.4
2nd quarter	372.0	85.1	46.5	33.8	4.8	6.2	120.9	63.4	57.5	584.2
3rd quarter	378.3	88.0	46.5	35.5	6.0	5.6	122.9	64.2	58.7	594.7
4th quarter	381.5	92.9	47.9	36.8	8.1	7.1	124.3	64.4	59.8	605.8
1964[1]: 1st quarter	391.1	90.2	48.8	37.9	3.5	9.0	126.5	64.9	61.6	616.8
2nd quarter	398.0	91.8	48.8	38.8	4.2	7.9	130.1	66.6	63.4	627.7
3rd quarter	407.5	92.5	48.2	40.7	3.6	8.4	129.5	65.1	64.4	637.9
4th quarter	408.8	97.4	48.5	41.4	7.4	8.6	129.4	64,1	65.3	644.2
1965[1]: 1st quarter	418.9	103.8	51.3	43.1	9.5	6.4	131.6	64.4	67.3	660.8
2nd quarter	426.8	103.7	52.7	43.3	7.6	8.2	134.3	65.6	68.7	672.9
3rd quarter	435.0	106.7	52.2	45.8	8.7	7.1	137.7	67.5	70.2	686.5
4th quarter	445.2	111.9	54.4	47.1	10.4	6.1	141.2	69.8	71.4	704.4
1966[1]: 1st quarter	455.6	114.5	57.1	48.5	8.9	6.0	145.0	71.9	73.1	721.2
2nd quarter	460.1	118.5	55.9	50.3	12.3	4.7	149.0	74.0	75.0	732.3
3rd quarter	469.9	115.0	52.5	52.6	9.9	4.2	155.5	78.3	77.2	744.6

1. Seasonally adjusted quarterly totals at annual rates.

Source: Department of Commerce.

TABLE II. NATIONAL PRODUCT AND EXPENDITURE IN CONSTANT (1958) PRICES

Billions 1958 dollars.

	PERSONAL CONSUMPTION EXPENDITURE	GROSS PRIVATE DOMESTIC INVESTMENT	OF WHICH:			NET EXPORTS OF GOODS AND SERVICES	GOVT. PURCHASES OF GOODS AND SERVICES	OF WHICH:		GROSS NATIONAL PRODUCT
			NEW CONSTRUCTION	PRODUCER'S DURABLE EQUIPMENT	NET CHANGE IN BUSINESS INVENTORIES			FEDERAL	STATE AND LOCAL	
1952	239.4	60.5	32.6	24.6	3.3	3.0	92.1	63.8	28.4	395.1
1953	250.8	61,2	34.5	25.8	0.9	1.1	99.8	70.0	29.7	412.8
1954	255.7	59.4	35.1	24.5	— 2.0	3.0	88.9	56.8	32.1	407.0
1955	274.2	75,4	41.3	27.7	6.4	3.2	85.2	50.7	34.4	438.0
1956	281.4	74.3	40.7	28.8	4.8	5.0	85.3	49.7	35.6	446.1
1957	288.2	68.8	38.5	29.1	1.2	6.2	89.3	51.7	37.6	452.5
1958	290.1	60.9	37.4	25.0	— 1.5	2.2	94.2	53.6	40.6	447.3
1959	307.3	73.6	40.9	27.9	4.8	0.3	94.7	52.5	42.2	475.9
1960	316.2	72.4	39.3	29.6	3.5	4.3	94.9	51.4	43.5	487.8
1961	322.6	69.0	38.9	28.1	2.0	5.1	100.5	54.6	45.9	497.3
1962	338.4	79.4	41.7	31,7	6.0	4.5	107.5	60.0	47.5	529.8
1963	353.3	82.5	42.7	34.0	5.8	5.6	109.6	59.5	50.1	551.0
1964	373.8	86.5	43.5	38.5	4.6	8.5	111.3	57.8	53.4	580.0
1965	396.2	97.8	45.8	43.2	8.8	6.3	114.1	57.8	56.3	614,4
1963[1]: 1st quarter	348.5	78.7	41.6	32.5	4.6	3.9	110.2	60.8	49.4	541.2
2nd quarter	350.9	80.6	42.8	33.1	4.8	5.7	108.7	59.0	49.7	546.0
3rd quarter	356.1	83.1	42.5	34.7	5.9	5.5	110.0	59.6	50.4	554.7
4th quarter	357.7	87.7	43.7	35.9	8.1	7.1	109.5	58.7	50.9	562.1
1964[1]: 1st quarter	365.7	84.6	44.4	36.7	3.5	9.2	110.3	58.2	52.0	569.7
2nd quarter	371.0	85.6	43.8	37.7	4.0	8.2	113.3	59.7	53.6	578.1
3rd quarter	379.5	85.7	42.8	39.5	3.5	8.4	111.3	57.4	53.9	585.0
4th quarter	378.9	90.2	42.8	40.0	7,4	8.0	110.1	56.1	54.0	587.2
1965[1]: 1st quarter	387.1	95.9	45.1	41.5	9.3	5.7	111.5	56.2	55.3	600.3
2nd quarter	392.2	95.3	46.2	41.7	7.3	7.1	113.2	57.3	55.9	607.8
3rd quarter	398.9	97.9	45.2	44.2	8.5	6.4	115.0	58.3	56.7	618.2
4th quarter	406.5	102.2	46.7	45.2	10.2	6.0	116.6	59.3	57.3	631.2
1966[1]: 1st quarter	412.8	103.5	48.6	46.4	8.5	5.9	118.3	60.4	57.9	640.5
2nd quarter	412.2	106.3	47.0	47.7	11.6	4.6	120.4	61.9	58.5	643.5
3rd quarter	418.3	102.5	43.7	49.8	9.1	4.2	124.3	64.9	59.4	649.3

1. Seasonally adjusted quarterly totals at annual rates.

Source: Department of Commerce.

TABLE III. MONETARY INDICATORS

Seasonally adjusted (in billions of dollars).

	MONEY SUPPLY[1]			LOANS AND INVESTMENTS AT COMMERCIAL BANKS[2]			
	TOTAL	CURRENCY	DEMAND DEPOSITS	TOTAL	LOANS	SECURITIES	
						US GOVT.	OTHER
1959: December	141.9	28.9	113.1	185.9	107.5	57.9	20.5
1960: December	141.1	28.9	112.1	194.5	113.8	59.8	20.8
1961: December	145.5	29.6	116.0	209.6	120.5	62.2	23.9
1962: December	147,5	30.6	116.9	227.9	134.1	64.5	29.2
1963: December	153.1	32.5	120.6	246.2	149.7	61.5	35.0
1964: December	159.7	34.2	125.4	267.2	167.4	61.1	38.7
1965: September	164.1	35.7	128.5	286.2	186.2	56.5	43.4
October	165.2	36.0	129.3	289.9	188.6	57.4	43.9
November	165.6	36.1	129.5	291.5	189.8	57.5	44.2
December	167.2	36.3	130.9	294.4	192.0	57.7	44.8
1966: January	168.0	36.6	131.4	297.4	194.5	58.0	44.9
February	168.2	36.8	131.4	297.5	196.2	55.9	45.4
March	169.3	36.9	132.3	300.3	198.6	56.0	45.7
April	170.9	37.1	133.7	302.7[3]	200.7[3]	55.8[3]	46.2[3]
May	170.2	37.3	132.9	304.3[3]	202.0[3]	55.0[3]	47.2[3]
June	171.1	37.4	133.7	305.4[3]	203.7[3]	54.5[3]	37.1[3]
July	169.6	37.7	131.9	308.2[3]	205.9[3]	54.1[3]	48.2[3]
August	169.6	37.8	131.8	309.8[3]	206.1[3]	55.9[3]	47.8[3]
September	170.5	37.9	132.6	307.7	205.6	54.0	48.0
October	169.6[3]	37.9[3]	131.7[3]	307.1[3]	206.8[3]	52.2[3]	48.1[3]

1. Averages of daily figures.
2. Data are for last Wednesday of month.
3. Preliminary.

Source: Federal Reserve Bulletin.

TABLE IV. MONETARY INDICATORS

Millions of dollars.

END OF PERIOD	MUTUAL SAVINGS BANKS						SAVINGS AND LOAN ASSOCIATIONS		
	LOANS		SECURITIES			DEPOSITS	MORTGAGES	US GOVT. SECURITIES	SAVINGS CAPITAL
	MORTGAGE	OTHER	US GOVT.	STATE AND LOCAL	CORPORATE AND OTHER				
1959	24,769	358	6,871	721	4,845	34,977	53,141	4,477	54,583
1960	26,702	416	6,243	672	5,076	36,343	60,070	4,595	62,142
1961	28,902	475	6,160	667	5,040	38,277	68,834	5,211	70,885
1962	32,056	602	6,107	527	5,177	41,336	78,770	5,563	80,236
1963	36,007	607	5,863	440	5,074	44,606	90,944	6,445	91,308
1964	40,328	739	5,791	391	5,099	48,849	101,333	6,966	101,887
1965: July	42,600	807	5,791	356	5,284	50,844	106,668	7,173	105,645
August	42,964	872	5,814	349	5,299	51,063	107,513	7,160	106,199
September	43,305	842	5,795	349	5,263	51,506	108,255	7,170	107,239
October	43,680	813	5,585	338	5,265	51,663	108,922	7,300	107,821
November	44,031	888	5,515	333	5,243	51,826	109,507	7,439	108,628
December	44,433	862	5,485	320	5,170	52,443	110,202	7,405	110,271
1966: January	44,709	904	5,560	314	5,217	52,689	110,700	7,694	110,194
February	44,952	925	5,623	313	5,289	52,907	111,246	7,842	110,722
March	45,180	913	5,600	317	5,352	53,286	112,001	7,850	111,560
April	45,335	867	5,335	307	5,323	52,959	112,736	7,637	110,787
May	45,529	991	5,311	297	5,353	53,075	113,249	7,632	111,174
June	45,688	923	5,150	286	5,397	53,318	113,669	7,340	112,359
July	45,968	1,035	5,101	280	5,494	53,523	113,750	7,304	110,851
August	46,232	1,095	5,062	276	5,659	53,689	113,897	7,353	110,975

Source: Federal Reserve Bulletin.

Table V. BALANCE OF PAYMENTS[1] OECD BASIS

Millions of dollars.

	1960	1961	1962	1963	1964	1965	1966 I SEAS. ADJ. ANNUAL RATES
Exports, f.o.b.	19,489	19,954	20,604	22,071	25,297	26,276	28,464
Imports, f.o.b.	14,732	14,510	16,187	16,992	18,621	21,488	24,522
Trade balance	4,757	5,444	4,417	5,079	6,676	4,788	3,942
Military expenditures and government economic grants, net	— 4,398	— 4,433	— 4,346	— 4,196	— 3,973	— 3,837	— 4,834
Other services and unilateral transfers, net	1,325	2,024	2,383	2,230	3,094	3,284	3,444
Current balance	1,684	3,035	2,454	3,113	5,797	4,235	2,552
Long-term capital	— 3,229	— 3,713	— 4,246	— 5,302	— 5,977	— 6,143	— 4,134
Direct investment	— 1,674	— 1,598	— 1,654	— 1,976	— 2,416	— 3,371	— 3,288
New issues of foreign securities	— 555	— 523	— 1,076	— 1,250	— 1,063	— 1,206	— 1,296
Long-term bank loans	— 155	— 136	— 127	— 754	— 941	— 231	154
Government capital, net	— 1,116	— 1,542	— 1,632	— 1,895	— 1,472	— 1,839	— 1,760
Other, net	271	86	243	573	— 85	504	2,056
Basic balance	— 1,545	— 678	— 1,792	— 2,189	— 180	— 1,908	— 1,582
Short-term non-monetary capital and unrecorded	— 1,400	— 1,257	— 1,024	— 45	— 1,280	307	— 704
Balance on non-monetary transactions	— 2,945	— 1,935	— 2,816	— 2,234	— 1,460	— 1,601	— 2,286
US banks' short-term claims	— 995	— 1,125	— 324	— 781	— 1,523	325	110
Liquid liabilities to non-official holders	— 42	671	7	913	1,796	484	1,808
Balance on official settlements	— 3,982	— 2,389	— 3,133	— 2,102	— 1,187	— 792	— 368
Liabilities to national monetary authorities	1,365	714	677	1,515	1,232	— 720	— 312
Net IFM position	741	— 135	626	30	266	— 60	610
Special transactions	53	696	681	344	— 19	75	24
Liabilities to other official institutions	121	374	242	— 135	— 197	181	— 626
Change in reserves (+ = increase)	— 1,702	— 741	— 907	— 348	95	— 1,316	— 672
Gold	— 1,702	— 857	— 890	— 461	— 125	— 1,665	— 554
Foreign exchange	—	116	— 17	113	220	349	— 118

1. Data are adjusted:
i) To exclude from "Other long-term capital", changes in foreign long-term claims on United States commercial banks.
ii) To include, in 1964 and in 1965, under "Other services and unilateral transfers, net" and "Government capital net" debt obligations payable by the United Kingdom, but waived.
iii) To exclude, in 1965 and 1966, from "Other long-term capital" the estimated effects of liquification by the United Kingdom Government of its dollar security portfolio.

Source: U.S. Balance of Payments Statistics, as adjusted by the Secretariat.

NOTE. Detail may not add, due to rounding.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
53 D Bourke Street, MELBOURNE, C.1.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
Standaard Wetenschappelijke Uitgeverij,
Belgiëlei 147, ANVERS.
Librairie des Sciences (R. Stoops),
76-78, Coudenberg. BRUXELLES.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KOBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, PARIS (16e).
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
AIX-EN-PROVENCE : Librairie de l'Université.
BORDEAUX : Mollat.
GRENOBLE : Arthaud.
LILLE : Le Furet du Nord.
LYON 2e : L. Demortière.
STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MÜNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 28, rue du Stade, ATHÈNES-132.

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Emanuel Brown,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Sous - Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House, Government Road,
P.B. 6854.
NAIROBI.

LEBANON-LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
22, Grand' Rue,
LUXEMBOURG.

MALTA - MALTE
Labour Book Shop, Workers' Memorial Building,
Old Bakery Street, VALLETTA.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images*.
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
W.P. Van Stockum & Zoon,
Buitenhof 36, DEN HAAG.
Sub-Agents : AMSTERDAM : Scheltema & Holkema N.V., Rokin 44. ROTTERDAM : De Wester Boekhandel, Nieuwe Binnenweg 331.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
OECD Publications Center, Suite 1305,
1750 Pennsylvania Ave, N. W.
WASHINGTON, D.C. 20006.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita, 23, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, Paris (16e).

OECD PUBLICATIONS, 2, rue André-Pascal, Paris XVIe. No. 21,535. *Printed in France*

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1966-1967 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA
DENMARK
FRANCE
GERMANY
GREECE
ICELAND
IRELAND
ITALY
JAPAN
NETHERLANDS
NORWAY
PORTUGAL
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND
TURKEY
UNITED KINGDOM
UNITED STATES

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue :	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series :	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT